

## Outlook

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## Rate sensitivity without pretending we have a full ALM model

Hi team,

The planning team needs to understand which product and customer groups are most exposed when lending and account rates change.

We looked at a version of this before. For the January 2020 review, please show what changed and whether the earlier conclusion still holds. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. Different teams have produced different answers from the same period, so population and timing rules need to be visible.

Can you test these explanations rather than choosing one at the start?

- fee-sensitive deposit activity changes after repricing
- repayment stress is driven more by cash flow than by nominal rate
- variable-rate borrowers show stress before fixed-rate borrowers

The decision is where product repricing, customer communication or credit monitoring should be focused. Please give us a Power BI page with drill-through to a reproducible case list.

You should be able to build the evidence from monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions. This is a behavioural sensitivity study, not IRRBB, economic value of equity or a regulatory interest-rate calculation.

Thanks